

the value of their home, since it was now worth more. Home equity loans and lines of credit were increasingly common.

Unfortunately, though the price of houses was going up, household incomes were not. Property values no longer increased, and the lenders found that many people were defaulting on their mortgages. Thus, the number of houses on the market increased, pushing prices down. Many individuals and families found that their homes were foreclosed on, or that they owned a house that was worth less than they owed on it.<sup>1</sup>

### ***Getting Involved with Plans When You Don't Know the Full Story***

The second element of the get-rich-quick mentality—taking financial risks in fields you know little or nothing about—is dangerous if there is any possibility of losing sizable amounts of money in the investment.

Financier Bernard Madoff was able to fool thousands of wealthy investors into believing he had developed an investing method that could make lots of money in both good times and bad. It was largely a hoax. His clients lost millions.

Some people are particularly vulnerable to being tricked by foolish schemes because they tend to trust anyone who claims to be a Christian, especially if he or she claims to have a special “revelation” from God. Beware of anyone who is selling something and says, “I was praying about this idea, and God told me to call you.”

One classic scam has been going around the Internet for many years. You receive an e-mail from a foreign country, sent by someone who claims to be a former government official or the widow of a fabulously wealthy businessman. The government official has been forced from office, or the oppressed widow is being illegally separated from her money—you get the idea. But you can do a good deed, they say, and help these unfortunates move their untold millions out of their country into a safe account (yours), and